IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - II, CHENNAI

CP (CAA) 63 & 66/CHE/2021

In

CA (CAA)/22 & 39(CHE)/2021

In the Matter of Section 230 to 232 of The Companies Act, 2013

And

In the Matter of ***Scheme of Amalgamation***

Between

M/S. PALLAVA TEXTILES PRIVATE LIMITED
CIN: U17111TZ1995PTC005909
Reg. Off:-
27 C, SankariByepass Road,
Pallipalayam,
Erode – 638 006 ... 1st Petitioner / Transferor Company

M/S. SRI CHERAN SYNTHETICS INDIA PRIVATE LIMITED
CIN: U17111TZ2005PTC011749
Reg. Off:-
27 C, SankariByepass Road,
Pallipalayam,
Erode – 638 006 ... 2nd Petitioner / Transferee Company

And

Their Respective Shareholders and Creditors

CORAM:

R SUCHARITHA, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

CORRIGENDUM

In exercise of powers under Rule 154 of National Company Law Tribunal Rules, 2016, the order in CP(CAA)/63&66(CHE)/2021 dated 18.04.2022 is rectified as under;

1. **M/s. Sri Cheran Synthetics India Private Limited** shall be read as "**Transferor Company**" instead of "Transferee Company".
2. **M/s. Pallava Textiles Private Limited** shall be read as "**Transferee Company**" instead of "Transferor Company".

-Sd-
B. ANIL KUMAR
MEMBER (TECHNICAL)

-Sd-
Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

DATED AT CHENNAI ON THIS 26TH DAY OF APRIL 2022

(2) + (3)

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And
Their Respective Shareholders and Creditors

Order Pronounced on 18th April 2022

CORAM:

R SUCHARITHA, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioner(s) : *PawanJhabak, Advocate*
For Official Liquidator : *B. Palani, Authorized Representative*

COMMON ORDER

Per: **R SUCHARITHA, MEMBER (JUDICIAL)**

Under Consideration are two separate Applications filed by the Petitioners above named for the purpose of the approval of the Composite Scheme of Amalgamation (hereinafter referred to as the

'SCHEME') as contemplated between the Petitioner Companies viz. **M/S. PALLAVA TEXTILES PRIVATE LIMITED** (1st Petitioner / Transferor Company) and **M/S. SRI CHERAN SYNTHETICS INDIA PRIVATE LIMITED** (2nd Petitioner / Transferee Company) under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (hereinafter referred to as *'the Act'*) read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as *'the Rules'*) pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also annexed to the typed set filed along with the CP(CAA)/63 66(CHE)/CAA/2021.

2. The Composite Scheme of Amalgamation as contemplated between the Petitioner Companies involves the following parts:

- ***Part I*** – Deals with definitions of the terms used in the Scheme of Amalgamation and sets out the share capital of the Transferor Company and Transferee Company.
- ***Part II*** – deals with Amalgamation of the Petitioner Companies.
- ***Part III*** – Deals with the changes of share capital of the Petitioner Companies: and
- ***Part IV***–Deals with the General terms and Conditions applicable to the Scheme

3. 1ST MOTION APPLICATION – IN BRIEF

3.1 The Petitioner Companies have filed the First Motion Application vide CA(CAA)/22&39(CHE)/2021 seeking directions for dispensation of the meetings of the Equity Shareholders and Secured Creditors and for convening and holding the meeting of the Unsecured Creditors of the Transferor and Transferee Companies

3.2 Based on such applications moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 22.09.2021 for dispensation of the meetings of the Equity shareholders and Secured Creditors of the Petitioner Companies. This Tribunal had vide the aforementioned order, directed to hold the meeting of the Unsecured Creditors of the Petitioner Companies.

3.3 The Chairman's Report for the same has been filed with the Registry on 23.11.2021 vide SR No. 5355 and 5356 for the Transferor Company and Transferee company respectively.

The details of the Report are as follows:

I. <u>Transferor Company</u>:

- Meeting was held on 13th November, 2021 at 11:00 am at Sankari Bye Pass Road, Pallipalayam, Erode, Tamil Nadu – 638 006.

- The quorum was fixed as 30 (thirty). The Meeting was attended by 44 (forty four) Unsecured Creditors entitled to a total of Rs. 48,91,86,607/- (Rupees Forty Eight Crore Ninety One Lakh Eighty Six Thousand Six Hundred and Seven Only) representing 88.86% of the total value of Unsecured Creditors of the Transferor Company.
- All the 44 (forty four) Unsecured Creditors voted in favour of the Resolution for the Scheme.

II. <u>Transferee Company</u>:

- Meeting was held on 13th November, 2021 at 12:00 pm at Sankari Bye Pass Road, Pallipalayam, Erode, Tamil Nadu – 638 006.
- The quorum was fixed as 20 (twenty). The Meeting was attended by 46 (forty six) Unsecured Creditors entitled to a total of Rs. 48,01,26,453/- (Rupees Forty Eight Crore One Lakh Twenty Six Thousand Four Hundred and Fifty three Only) representing 89.94% of the total value of Unsecured Creditors of the Transferee Company.
- All the 46 (forty six) Unsecured Creditors voted in favour of the Resolution for the Scheme.

Subsequent to the said order, the Petitioner Companies have filed the second motion Petition before this Tribunal on 20.11.2021 for sanction of the Scheme of Amalgamation as contemplated between the parties.

4. RATIONALE OF THE SCHEME

4.1 The learned Counsel appearing on behalf of the Petitioner Companies submitted that the rationale and circumstances that have necessitated the proposed scheme are as follows:

4.1.1 The consolidation of operations of the Transferor Company and Transferee Company by way of amalgamation will lead to a more efficient utilization of capital, superior deployment of brand promotion, sales and distribution strategies and create a consolidated and diversified base for future growth of the amalgamated entity with a wider presence in the premium of Textile segment. The amalgamation would facilitate greater cohesiveness to gain market share through core market competencies which are hallmark of the Transferee Company with increased brand and customer recognition. The amalgamation will result in administrative and operational rationalization and promote organizational efficiencies. It will prevent cost duplication that can erode financial efficiencies of the holding structure and the resultant operations will be more cost-effective with the achievement of greater

economies of scale, reduction in overheads and improvement in various other operating parameters.

4.1.2 In view, inter alia, of the aforesaid, the Board of Directors of the Transferor Companies as well as the Board of Directors of the Transferee Company have considered and proposed the amalgamation of the entire undertaking and business of the Transferor Company with the Transferee Company in order to benefit the stakeholders of the said companies. Accordingly, the Board of Directors of both Transferor Company and Transferee Company have formulated this Scheme for the transfer and vesting of the Undertakings of the Transferor company (as defined hereinafter) with and into the Transferee Company pursuant to the provisions of Section 230 to Section 232 and other relevant provisions of the Act.

4.1.3 The amalgamation will result in the formation of a stronger company with a larger capital and asset base and enable the combined business to be pursued more conveniently and advantageously. The amalgamation will have beneficial results for the amalgamating companies, their stakeholders and all concerned.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 13.01.2022 has directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (a) Central Government through the office of Regional Director (Southern Region), MCA (b) RoC, Chennai, MCA (c) Official Liquidator (e) the Income Tax Department Authorities and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition)

6. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal vide dairy number 6108 on 09.03.2022 in relation to the compliance of the order passed by the Tribunal as noted above and upon perusal of the same discloses that the Petitioner Companies have individually effected the paper publication as directed by the Tribunal in the issue of "Business Standard", English (All India Edition) and "Makkal Kural" (Tamil Nadu Edition) on 10.02.2022. It is also seen that notices have been also served to (i) The Regional Director, Southern Region, Chennai on 03.02.2022 and 04.02.2022 by the Transferee and Transferor Company respectively (ii) Registrar of Companies, Chennai on 03.02.2022 (iii)Income Tax Department on

03.02.2022and (iv) The Official Liquidator on 04.02.2022 by the Transferor Company. Affidavits of Service dated 09.03.2022 stating compliance of the directions of the Tribunal was filed. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

7.1.1 The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued, has filed his Report before this Tribunal on 23.02.2022. It was observed that as per the report of RoC, Chennai, the Petitioner Companies are regular in filing their statutory returns. Further, it is also stated in the report that no prosecution / Inspection or Investigation is pending against the Petitioner Companies. However, the RD in para 10 has made an observation, which is extracted hereunder:

> *10) It is respectfully submitted that Clause 12 of Part III of the Schemeprovides for clubbing of Authorized Share Capital of the Companies, as such the Authorized Share Capital of the Transferor Company shall stand be altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 55,30,00,000 divided 55,30,000 equity shares of Rs. 100 each. The Transferee Company may be directed to remit the difference in fee / stamp duty, if any, in accordance with*

Sec. 232(3)(i) of the Companies Act, 2013 and also to file the amended MOA and AOA with ROC, Coimbatore on the above alteration.

7.2. OFFICIAL LIQUIDATOR

7.2.1 The Official Liquidator (In short, 'OL') in its report dated 21st December 2021, submitted that Mr. N. Venkatesan, Chartered Accountant had verified the books and accounts of the Transferor Company. The report of the Official Liquidator states that the Chartered Accountant has examined the records of the Transferor Company and prima facie, nothing adverse or objectionable issues affecting the Transferor Company or its members or creditors or the public interest is noticed. The Chartered Accountant is of the opinion that the affairs of the Transferor Company have not been conducted in a manner which is prejudicial to the interest of the members or to the public interest. However, the OL in para 14 has made an observation, which is extracted hereunder;

> *14. According to the information and explanation received, in his pinion the Transferor Company have made adequate disclosures in respect of contingent liabilities and its impact on the financial statements. The audited financial statements as on 31s March, 2020 has an outstanding provision for contingent liabilities for Rs.599.50 lakhs measured on the rationale that the company would require to pay to settle the obligation at any given point of time.*

Out of the above provision, a sum of Rs.33.82 lakhs has already been deposited. In his opinion, the material effects of contingent liabilities on the financial of the Transferor Company are negligible.

7.3 INCOME TAX DEPARTMENT

7.3.1 In spite of notice having been served to the Income Tax department by the Companies on 03.02.2022, there was neither any representation nor any report filed by the said authorities. In the said circumstances as per section 230(5) of the Companies Act, 2013, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

7.3.2 However, in Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi with a view to protect the interest of the revenue, has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> "taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutorily dues

from the transferor or transferee or any other person who is liable for payment of such tax dues the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

7.4 OTHER STATUTORY AUTHORITIES

7.4.1 It is submitted by the Learned Counsel for the Petitioners that the equity shares of the Petitioner Companies are not listed with the stock exchanges, thus the Petitioner Companies do not require compliance of Listing Agreement or SEBI Rules/Regulations.

7.5 ACOUNTING TREATMENT

7.5.1 The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and certified that the Petitioner Companies have complied with provisions of the Companies Act, 2013 and the Accounting Treatment contained in the proposed Scheme of Amalgamation is in compliance with the Applicable Indian Accounting Standards. The Petitioner Companies have individually filed the Auditor's Certificate in relation to the accounting treatment proposed in the Composite Scheme being in compliance with the Accounting Standards notified

under Section 133 of the Companies Act, 2013 on 26/10/2021.

8. OBSERVATIONS OF THIS TRIBUNAL

8.1 After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* in compliance with the provisions of the Companies Act, 2013. Further there seems to be no objection on the part of the shareholders that the Scheme is in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Amalgamation along with Company Petitions as well as the prayer made therein.

8.2 The Learned Counsel for the Petitioner Companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

8.3 Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the persons concerned and also the directors and officials of the petitioners.

8.4 While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

THIS TRIBUNAL DO FURTHER ORDER:

(i) That all properties, right and interest of the Transferor Company shall pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company as per the terms of the Scheme of Amalgamation.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall

pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(iv) The Appointed Date of the said Composite Scheme shall be 1st April 2020 as specified in the scheme. The Effective Date shall be within 45 days from the date of this Order.

(v) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme shall finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(vii) That the Transferee Company do without further application allot to such members of the Transferor Company, such notice of dissent, as is required by *Clause 13 of Part – III of the Scheme herein* the shares in the Transferee Company to which they are entitled under the said SCHEME.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Concerned Registrar of Companies along with a copy of the Composite Scheme of Amalgamation and Arrangement (Demerger) for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Company and registered with him on the file kept by him in relation to all the Transferee Company and the files relating to the said both companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

(x) That the Transferor Company which is being dissolved is directed to pay **Rs. 50,000/- (Rupees Fifty Thousand**

Only) to the office of the Official Liquidator for payment towards Chartered Accountant Fee.

9. That the Company Petitions are allowed and the Composite Scheme of Amalgamation annexed with the Company Petitions is hereby sanctioned and shall be binding on the members, Secured, unsecured creditors and shareholders of the Transferor/ Transferee Companies.

10. Accordingly, the Composite Scheme stands sanctioned and CP(CAA)/63&66(CHE)/2021 stand disposed of.

-sd-
(ANIL KUMAR B)
MEMBER (TECHNICAL)

-sd-
(R. SUCHARITHA)
MEMBER (JUDICIAL)

MohanaPriya